

After you've set the coordinates for your preferred destination, you have to decide on financing options.

"Across multiple international master's courses, we see average expenditure per student varies significantly. As per an industry report from [market intelligence firm] HolonIQ, this ranges from around \$10,000 per year to more than \$100,000 and can similarly vary from city to city, with annual price increases being respectively impacted by local inflation rates," says Mayank Sharma, Head of Global Partnerships and Country Head India at Prodigy Finance.

OPTIONS APLENTY

The good news is that for education loans, you no longer need to queue up at a bank branch or fill out tonnes of forms. The application process can be started over the internet and completed from the comfort of your home.

That brings us to the all-important question: Which financier should you choose—public sector banks, private ones, NBFCs or fintech companies?

Banks interest rates range from 9.8 per cent to 11.5 per cent. The cheapest rates are generally offered by public sector banks and, fintech companies may levy higher interest rates. Importantly, public banks offer borrowers a moratorium during which they are not required to make loan payments. This usually spans the duration of the course, with an additional six or 12 months while you're searching for a job to ease the financial pressure. Private lenders, meanwhile, may charge simple interest from the

FOREIGN INTEREST

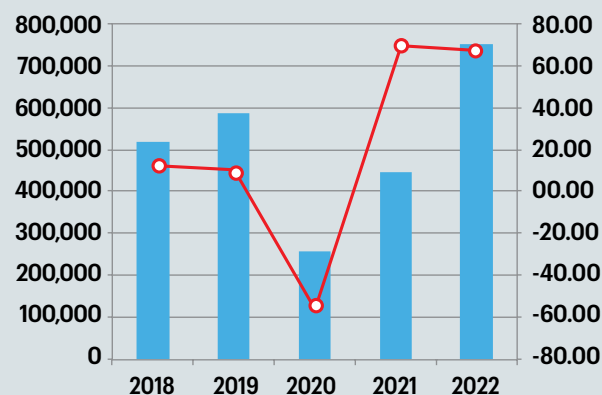
The lowest interest rates and EMI for a foreign education loan of ₹20 lakh for a 7-year tenure

BANK	INTEREST RATE	EMI (₹)
UNION BANK	9.30%	32,483
PUNJAB & SIND BANK	9.30%	32,483
ICICI BANK	9.85%	33,048
KARNATAKA BANK	10.39%	33,607
PNB	10.50%	33,721

RATES OFFERED BY LISTED BANKS; LENDERS THAT DIDN'T HAVE DATA ON WEBSITES NOT CONSIDERED; DATA COLLECTED FROM BANKS' WEBSITES ON JULY 4, 2023; **SOURCE** BANKBAZAAR.COM

DREAMS ABROAD

There has been a steep jump in students going overseas



● NUMBER OF STUDENTS GOING ABROAD (LHS); —○— % CHANGE (RHS); **SOURCE** GYANDHAN; ACCORDING TO DATA SUBMITTED BY THE EDUCATION MINISTRY IN PARLIAMENT

time of disbursement, which can accumulate if not paid during the period of study.

Then there is the currency question. When applying for a student loan in your home country, you have the advantage of an established credit history or existing account. Additionally, you may have the option to borrow and repay in your local currency. Another possibility is providing collateral such as a property or having a parent, guardian, or family member co-sign the loan.

But there may be those who do not have any collateral or borrowing history or simply want to insulate themselves from foreign exchange fluctuations. For them, financing in a foreign currency can offer advantages as some lenders may not require collateral or a co-signer. Additionally, loans disbursed directly to educational institutions in a foreign currency can help avoid high international exchange fees.

There is a catch here. "There are only a limited set of lenders, and a limited set of courses eligible for foreign currency loans from fintechs. Moreover, international lenders typically show the headline interest rates that are charged to the customer. However, these rates are in a different currency and cannot be compared directly to the loans from the origin country (INR loans in the case of India). Once adjusted for the interest rate differentials, the rates are typically much higher than those offered by the domestic lenders," says GyanDhan's Mehra.

For example, Mehra explains that when faced with a